IN THE HIGH COURT OF JUDICATURE AT BOMBAY
ORDINARY ORIGINAL CIVIL JURISDICTION

COMMERCIAL ARBITRATION APPLICATION NO. 214 OF 2022

Orient Transline Logistics Pvt. Ltd. ...Applicant

VERSUS

Gokarna Marine Engineering Ltd. ...Respondent

Mr. Zal T. Andhyarujina a/w Ms. Nisha Kapadia i/b. M/s. Dhruv & Co. for the Applicant.
Mr. Rashmin Khandekar, Senior Advocate a/w Mr. Rohit S. Pai i/b. Ardhapurkar & Co. for the Respondent.

CORAM : SHRIKANT D. WADEKAR, J.
DATE : 11th May 2023.

JUDGMENT:

1. By this application under Section 11(6) of the Arbitration and Conciliation Act, 1996 ("the Act"), the Applicant seeks appointment of an arbitrator to decide disputes arising out of the Charter Agreement dated 02.02.2015 entered into between the parties for the hire of harbour cranes.

2. Clause 19 of the Charter Agreement provides for arbitration by a sole arbitrator to be appointed by agreement. The Applicant invoked arbitration by a notice dated 14.08.2018, received on 16.08.2018, and proposed the name of a former Judge. By a letter dated 29.08.2018 the Respondent sought further documents and time to consider the proposal. Thereafter, the parties held meetings on 12.11.2018, 18.02.2019 and 05.06.2019. By a letter dated 30.09.2019 the Respondent for the first time stated that it did not agree to the appointment of any arbitrator. The present application was filed on 11.01.2022.

3. Mr. Khandekar, learned Senior Advocate for the Respondent, submits that the application is barred by limitation. He submits that the right to apply arose on the expiry of thirty days from 16.08.2018, i.e. on 15.09.2018, and that the three year period under Article 137 of the Limitation Act, 1963 expired on 14.09.2021. He relies upon the decision of the Delhi High Court dated 08.12.2022 in M/s Triveni Power Equipments Pvt. Ltd. v. M/s Kalindi Hydro Projects Ltd. (ARB.P. 1177/2022).

4. Mr. Andhyarujina, learned counsel for the Applicant, submits that the Respondent did not refuse but kept the Applicant engaged, that the first refusal was on 30.09.2019, and that the application is well within three years of that date.

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5. The question that falls for determination is whether limitation for an application under Section 11(6) of the Act commences automatically upon the expiry of thirty days from the receipt of the notice invoking arbitration.

6. Section 11(4) of the Act provides the machinery where a party fails to appoint within thirty days. The provision uses the expression “fails”, which in the context of ongoing exchanges is capable of more than one meaning. A respondent who responds, asks for documents, attends meetings and holds out the prospect of consensus can hardly be said to have failed to act, in the sense of repudiating its obligation, merely because a fixed period has passed.

7. In the considered view of this Court, the expiry of thirty days from the notice under Section 11 of the Arbitration and Conciliation Act, 1996 does not by itself set limitation running; time under Article 137 of the Limitation Act, 1963 commences only when the respondent, by an express refusal or by conduct unequivocally evincing refusal, repudiates its obligation to concur in the appointment of an arbitrator.

8. With utmost respect, I am unable to subscribe to the contrary view taken by the Delhi High Court in Triveni Power Equipments (supra). To hold that limitation runs mechanically would penalise a party for engaging in the very consultation which the arbitration clause itself contemplates and would encourage parties to terminate dialogue at the earliest.

9. On the facts, the first unequivocal refusal is the letter dated 30.09.2019. The application filed on 11.01.2022 is within three years from that date. The objection as to limitation is rejected.

10. The application is allowed. A retired Judge of this Court, whose name shall be communicated by the Registry after obtaining the disclosure required under Section 12(1) of the Act, shall be appointed as sole arbitrator. Fees shall be as per the Fourth Schedule to the Act.

(SHRIKANT D. WADEKAR, J.)

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